



STEP 8

I WRITE MY EXIT RULES WHEN I'M CALM

I rebalance annually or on +/-5% bands, using fresh flows if possible. And I keep three numeric exit triggers:

Mandate drift: >20% style breach for two straight quarters.

Rolling performance: bottom quartile on 3-yr rolling in $\geq 60\%$ of windows.

Team: Portfolio manager exits without a named, experienced co-portfolio manager $\rightarrow$ watchlist; if consistency also decays, I move.

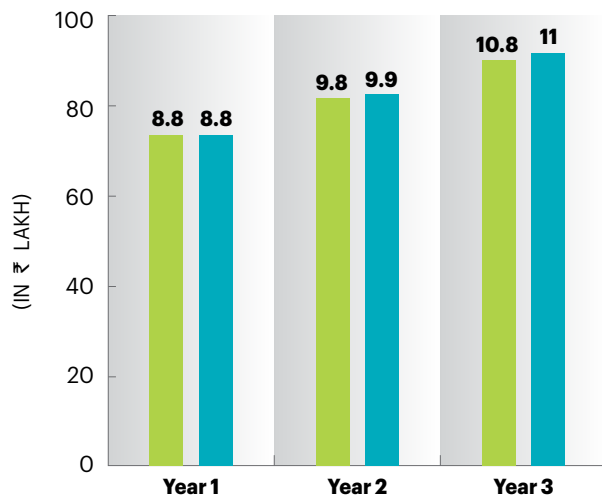
REBALANCING IS THE KEY

A two-year path: Year-1 equity -30%, debt +6%; Year-2 equity +20%, debt +6%; Year-3 equity +15%, debt +6%.

No rebalance ends near ₹10.78L; rebalance back to 50/50 ends near ₹10.98L. A quiet ~+1.9% lift for doing the unfashionable thing.

REBALANCE VS DON'T

• ₹10 lakh invested. No rebalance ends near ₹10.78 lakh; rebalance back to 50/50 equity-debt ends near ₹10.98L. A quiet ~+1.9% lift for doing the unfashionable thing.



— WITHOUT RELALANCING — WITH REBALANCING

NOTE FIGURES IN ₹ LAKH, ASSUMING YEAR-1 EQUITY -30%, DEBT +6%; YEAR-2 EQUITY +20%, DEBT +6%; YEAR-3 EQUITY +15%, DEBT +6%

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THE 30-SECOND RED-FLAG SCAN I RUN BEFORE I CLICK "INVEST"

Fancy YTM with murky credit disclosure, chronic high turnover without a stated edge, AUM spikes in small/micro, themes sneaking into the core, and index funds with TE that's an outlier.

Note to self: Pick the process once; let the process pick your funds



That's the whole method. Not hot, just repeatable. Automate the SIPs, fix one day a year for maintenance, and let arithmetic do its job while you get on with your life.